



# TWO CASE STUDIES OF PROJECT MANAGEMENT FAILURES



Scan to review worksheet

Expemo code:  
1ENH-L1L8-524

**1**

## Warm up

Read the descriptions of projects below. What could go wrong with them?

The government of a developed country launches a nationwide website to improve its healthcare.

A giant discount supermarket chain hires a large software company to redesign its inventory control system.

**2**

## Reading / listening for gist



In pairs, read or listen to one of the case studies. Then report the main ideas to your partner. Don't forget to mention the following aspects.

- The background to the project
- The main goal of the project
- What happened
- The main reasons for shortcomings



## Project Flops

**We've all been there: being involved in a project that doesn't meet its goals, or worse, falls flat on its face, leaves a bitter taste in our mouths, especially if we had a part in its downfall. However, we can take solace from these projects that failed more spectacularly than anything we could ever mess up!**

### 1. Obama's Healthcare website

**A)** Barack Obama was elected in 2009 with a vow to bring affordable healthcare to millions of uninsured citizens, and once he was inaugurated, he showed he meant business. He signed the Affordable Care Act, also known as Obamacare, and invested heavily in healthcare from the first year of his term. The crown jewel of his campaign was the website Healthcare.gov, a one-stop shop where Americans would be able to sign up for the insurance of their choice.

**B)** After a long period of growing expectations, the website was finally launched on October 1, 2013. On its first day, the website had four million unique visitors, but a series of mistakes resulted in only six of them managing to successfully register. Yes, you read that right: not six hundred or six thousand, six! Visitors experienced all sorts of crashes, delays and errors that rendered the portal virtually impossible to use. The following period didn't prove much better: eight million people visited the website in the next few days, with a sign-up rate of about 1%. The portal was eventually improved and 10 million Americans were able to become insured through it in 2014 alone, but its disastrous roll-out remains one of the most incredible failures in IT projects.

**C)** There were a series of notable mistakes in this project, not the least of them the fact that the scale of such a nationwide project was seriously underestimated, leading to management mistakes at all levels. Political interference was also claimed to have been an issue, with pressure to include features and rush deadlines in order to appease politicians. Finally, as a number of governmental departments were involved in the project, there was a lack of centralized leadership, which contributed to project management failures.

### 2. Lidl's failed inventory control system

**D)** Lidl is a chain of supermarkets that has around \$106 billion in annual revenue. It is known for its low-staffing and zero-waste approach that allows them to keep prices very low. As many of its products are made in a single country and shipped to its supermarkets worldwide, logistics are key to the company, which makes up 80% of the revenue of its parent company, the Schwarz Group, the fifth largest retailer in the world.

**E)** In 2011, supermarket giant Lidl teamed up with German software company SAP to develop a revolutionary inventory control system. It was called eLWIS (pronounced 'Elvis' in German), an acronym for electronic Lidl merchandise management and information system. Despite its cute name, the project failed dismally and seven years and \$534 million later, Lidl was forced to revert to its original inventory system.

**F)** The first and arguably biggest problem in this project was what is called the 'requirements gap', a difference between what the program does and what the client wants it to do. In this case, Lidl was used to inputting goods based on their purchase prices in its previous system, while the SAP program was based on retail prices. What seemed initially a minor glitch proved to be a nightmare. The fact that the project was dragged over seven years certainly didn't help in such a dynamic and ever-changing industry as discount retail, especially given that Lidl experienced high executive turnover in the period. When the client's management changes mid-project, there are bound to be some issues resulting from a degree of misalignment with the new executive views.

Sources: [henricodolfing.com](http://henricodolfing.com)



## 3

**Reading / listening comprehension**

Read/listening the article again and answer the questions below.

1. Why does the author believe this article will make readers feel better?

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2. Why was Healthcare.gov so important for the Obama administration?

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3. Why were there so few registrations on the website after its initial launch?

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4. How many factors does the author present for the Healthcare.gov failure?

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5. Why is logistics key to Lidl's operations?

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6. What was the outcome of the project to implement Lidl's new inventory system?

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7. How many factors does the author present for the failure of eLWIS?

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## 4

**Focus on vocabulary**

Find a word or phrase in the text that means the following.

**Group 1:**

1. \_\_\_\_\_ (phrase, introduction): fails miserably
2. \_\_\_\_\_ (n, introduction): the failure of something or someone important
3. \_\_\_\_\_ (v, para. A): introduced as a public officer
4. \_\_\_\_\_ (n, para. A): an organization that provides a range of services or goods
5. \_\_\_\_\_ (v, para. B): caused something to be something
6. \_\_\_\_\_ (n, para. B): when a company or government introduces a new product or service

**Group 2:**

1. \_\_\_\_\_ (adj., para. C): deserving of attention
2. \_\_\_\_\_ (v, para. C): please someone or make them calmer
3. \_\_\_\_\_ (adv., para. E): in a very bad way
4. \_\_\_\_\_ (v, para. E): go back to
5. \_\_\_\_\_ (n, para. F): a small technical problem
6. \_\_\_\_\_ (n, para. F): the rate at which employees are replaced in a company

## 5

**Talking point**

In small groups, discuss the questions below.

1. What project management lessons can be drawn from each of these cases?
2. What could have been done differently?



## 6

**Focus on vocabulary: collocations**

**Part A: Match the words to create common project management terms.**

- |                |                  |
|----------------|------------------|
| 1. lag         | a. estimating    |
| 2. bottom-up   | b. baseline      |
| 3. decision    | c. time          |
| 4. contingency | d. tree analysis |
| 5. Murphy's    | e. plan          |
| 6. schedule    | f. criteria      |
| 7. positive    | g. variance      |
| 8. acceptance  | h. law           |



**Part B: Now complete the definitions with the collocations from Part A.**

1. \_\_\_\_\_ → an alternative course of action in the event of problems
2. \_\_\_\_\_ → a necessary delay between tasks
3. \_\_\_\_\_ → the extent to which actual project performance is better than previously planned
4. \_\_\_\_\_ → the requirements expected from the deliverables in a project
5. \_\_\_\_\_ → a technique to consider the implications of decisions and predict their outcomes
6. \_\_\_\_\_ → a popular belief that 'what can go wrong will go wrong', which reinforces the need for risk management
7. \_\_\_\_\_ → a calculation of total time and cost based on adding each project activity
8. \_\_\_\_\_ → the original timeframe against which performance is assessed



## 7

**Speaking practice**

**Part A:** In small groups, choose one of the case studies and role-play a meeting to put the project back on track.

**Part B:** In pairs, put the following factors in order of relevance towards the failure of a project.

Lack of planning

Lack of communication

Unrealistic expectations

Lack of monitoring and control tools

Scope creep

Lack of funding

Lack of transparency

Poor risk management

## 8

**Extension activities / homework**

**Task A:** Research and present to your classmates another case study of a major project failure.

**Task B:** How many words from the worksheet can you remember? Test yourself!

**Group 1:**

1. What F-word completes the phrase *fall flat on your ...* and means fail completely? → \_\_\_\_\_
2. What S-word completes the phrase *one-stop ...* and means an organization that provides a range of services or goods? → \_\_\_\_\_
3. What N-word means deserving of attention? → \_\_\_\_\_
4. What R-word is when a company or government introduces a new product? → \_\_\_\_\_
5. What G-word means a small technical problem? → \_\_\_\_\_
6. What T-word is the rate at which employees are replaced in a company? → \_\_\_\_\_
7. What D-word means in a very bad way? → \_\_\_\_\_

**Group 2:**

1. What C-word completes the collocation ... *plan* and is an alternative course of action? → \_\_\_\_\_
2. What V-word completes the collocation *positive* ... the extent to which actual project performance is better than previously planned? → \_\_\_\_\_
3. What M-word completes the collocation ... *law* and means 'What can go wrong will go wrong'? → \_\_\_\_\_
4. What B-word completes the collocation *schedule* ... and means the original timeframe against which performance is assessed? → \_\_\_\_\_
5. What L-word completes the collocation ... *time* and means a necessary delay between tasks? → \_\_\_\_\_
6. What B-word completes the collocation ... *estimating* and means a calculation of total time and cost based on adding each project activity? → \_\_\_\_\_